



Analyst Name: Mayank Babla – 022-67141212

Associate Name: Tanush Mehta – 022-67141241

Q4FY20 Result Update @ Dalal & Broacha

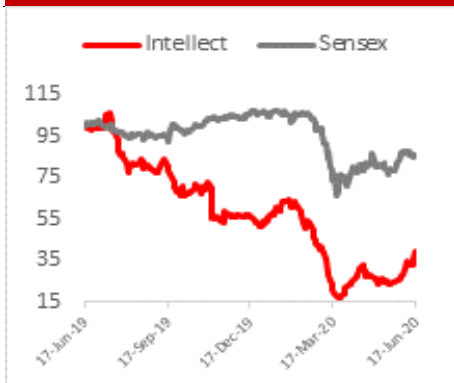
BUY

Current Price	106
Target Price	150
Upside/Downside	42%
52 Week Range	44/292

Key Share Data

Market Cap (Rs.bn)	14.09
Market Cap (US\$ bn)	0.18
No of o/s shares (mn)	132.34
Face Value	5
Monthly Avg. vol(BSE+NSE) Nos'000	121.49
BSE Code	538835
NSE Code	INTELLECT
Bloomberg	INDA:IN

Price Performance



Intellect Q4FY20 results were above our estimates owing to growth in the Revenue and improved cost control

Revenue stood at Rs. 3580 mn, -10% YoY & +12% QoQ, as against our estimate of Rs. 3103 mn.

- The license revenue (28% of Topline) was up by 16%YoY to Rs. 1010 mn
- AMC revenue (19% of the Revenue) grew by 12% YoY to Rs. 670mn
- Saas revenue (11% of the Revenue) grew by 65% YoY to Rs. 382mn

Order Book

- License based order book stands at Rs. 11,500 mn vs Rs. 11,250 QoQ.
- Cloud order book stands at Rs. 8250 mn Flat QoQ.
- GeM order book stands intact at Rs. 3000 mn.

Other Financial Highlights -

Gross Margins :- The Gross Margins stood at 53.6% as against 52.1% YoY.

Employee Expenses - The expense stood at INR 1742.1 mn , down by 24% YoY & 17% YoY

EBITDA stood at Rs. 639.3mn as against Rs. 521.3 mn YoY, as against out estimate of (84) mn.

R&D expenses: expended during the quarter amounted to Rs. 239.7 mn as against Rs. 295.4 mn YoY.

PAT came at INR 410 mn as against Rs. 415.37 mn YoY, as against our estimate of INR (122) mn.

Deal wins – The Company won 7 deals in Q4FY20 as compared to 8 deals Q4FY19 and 6 deal wins in Q3FY20. The current funnel of Intellect is around INR 38,400 mn (\$512 mn) out of which INR 28,200 mn (\$376 mn) is accounted by 120 Opportunities. The Average deal size in Q4FY20 stands at INR 150 mn (\$2 mn) against INR 140 mn (\$ 1.9 mn) in Q4 FY19

% Shareholding	Mar-20	Dec-19
Promoters	31.38	31.40
Institutions	26.19	25.80
Others	42.43	42.80
Total	100	100

Working Capital & DSO - Intellect's working capital has touched 150 days which is due to \$ 10 m license sign up in the last 2 weeks of Q4FY20. As of May 31st 2020, Intellect has collected INR 3050 mn for its clients.

Go To Market Products Timeline:- Intellect has entered markets with iGTB in FY 19, iGCB in FY 20 and is in line to go market with iSEEC in FY 21 and iRTM in FY 22

Financials

Year	Op Income	% Growth	EBIDTA	OPM%	PAT	% Growth	EPS	PE (x)	ROE%	ROCE%
FY18	10,873	19%	787	7.2%	467	NA	3.7	29x	6.7%	6.7%
FY19	14,528	34%	1,426	9.8%	1,650	188%	12.5	8.5x	18.1%	14.8%
FY20	13,507	-8%	746	5.5%	159	-88%	1.2	88x	1.5%	1.5%
FY21E	13,021	-4%	1,166	9%	335	111%	2.5	42x	3.4%	4.4%
FY22E	15,190	17%	2,053	13.5%	1,146	242%	8.7	12x	10.1%	10.8%

**Analyst Name:** Mayank Babla – 022-67141212**Associate Name:** Tanush Mehta – 022-67141241**Q4FY20 Result Update @ Dalal & Broacha****Segment Wise Performance –****A. IGTB (Intellect Global Transaction Business)**

1. Q4 FY 20 saw revival of License wins of \$10M with 3 large global banks across North America, Europe & Middle East
2. In FY20 Intellect had 15 New License Go LIVE ; 6 Upgrades and 40 Significant Extensions
3. 3 New Cloud Platforms (CBX – C-19; CBX S 19; IPSH 19) went live with customers
4. AMC growth of 11% expected in FY 21 followed by AMC growth of 20% in FY 22 (2 large Deals of \$ 10M+ license won in FY 19 will be in production)
5. In last 100 days Intellect, submitted 18 proposals with \$ 50M+

B. IGCB (Intellect Global Consumer Business)

1. Intellect submitted 25 Proposals with 9 in Results Awaited Stage
2. The company is preparing for US entry in 2022-23
3. Out of the total deals, 28 % of Deals are from Advanced Markets.

C. Intellect SEEC (Intellect Global Consumer Business)

1. The Business is poised to expand its footprint to more Carriers in the US and foray into the UK
2. Data and Machine Learning algorithms proved highly effective (92%+) in major use cases at global large insurers. Intellect is now replacing human work (including major BPO providers) with it's ML software at global carriers

D. iRTM (Intellect Risk & Treasury Markets)

1. Capital Cube (Intellect Treasury) has more than 40 installations. The product is processing more than 2.5 Trillion worth of assets on annualized basis.
2. Clients - **Reserve Bank of India works on Intellect Treasury**. Additionally, **Citibank is using Intellect Treasury** for over 34 countries for its Money Market module
3. iRTM has launched Contextual Asset Liability Management -CALM - a product that is again Cloud ready - in April to address this product
4. Similarly, Liquidity and balancing Assets / Liabilities has also been an area with significant interest especially post Covid environment

E. iGOV Business – GeM (Government e-market)

1. **Buyers:**– New organizations registered on GeM increased by 10,751. As on 31st March 2020, 44,633 Buyer Organizations are registered for procurement
2. **Sellers:**– New seller organizations of 1,65,194 started selling on GeM. As on 31st March 2020, 3,55,723 Sellers are selling through GeM
3. **Orders Placed:**– Number of Orders placed on GeM increased by 2,15,479 during previous fiscal. Average number of Orders placed daily on GeM increased from 7,557 in March 2019 to 9,025 in March 2020.



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst Name: Mayank Babla – 022-67141212

Associate Name: Tanush Mehta – 022-67141241

Q4FY20 Result Update @ Dalal & Broacha

4. **Order Value:-** Value of Orders placed on GeM increased from INR 23,747 Cr to INR 46,320 Cr during previous fiscal. 110% growth in Average Daily Value of Orders (INR 48.3 Cr in Dec 2018 to INR 101.48 Cr in March 2020)
5. **Products Variety** - Number of Product Catalogs available increased by 12,95,037. As on 31st March 2020, 21,97,902 Product Catalogs were available for procurement by Buyer Organizations

F. iTurmeric

1. Intellect launched iTurmeric - a unique platform for progile transformation / modernization of legacy platforms to Cloud ready/ API - micro services driven open architecture and Digital channels in April 2020
2. Intellect and IBM will pursue a phased GTM programme to take this product to various geographies.

Other Key Highlights

1. Intellect's per deal license value has moved up 50% over the last two years with License constituting 60% of deal value as against 40% earlier.
2. Intellect has reduced its headcount by 500 in FY20.
3. Tax Rate to be 10% for FY21 and R&D capitalization R&D at Rs. 1.2bn
4. Intellect's net debt has increased from Rs. 98mn in FY19 to Rs. 1bn in FY20

Outlook & Valuation

Intellect for the first time in the last 3 quarters highlighted showed positive performance across the board. Going ahead we expect, the revenue to be under pressure due to sudden shift in some of its new client acquisition in FY20 from license to cloud followed by pressure on IT spending by clients on banking software in CY20(As they are largely discretionary in nature) on account of COVID-19 impact. Owing to the same, we build a 3.6% yoy decline in revenue for FY21E (7% yoy decline in revenue for FY20). We expect EBITDA margins to improve to 9.0% and 13.5% in FY21E and FY22E, respectively, on account of cost control measures. **Intellect has reduced the headcount by ~500 over the last one year** and continues to have a strong focus on cost control. Additionally, cloud revenue (currently 11% of revenues) is likely to increase to ~13% by next year, which would drive margin improvement. With monetization of more products, in FY21 and FY22, we expect depreciation to increase. At CMP of INR 107, Intellect is trading at 42x FY21E and 12x FY22E at an estimated EPS of INR 2.5 in FY21E and INR 9.3 in FY22E. We recommend a buy on the stock with a Target Price of INR 150, an upside of 42%.



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst Name: Mayank Babla – 022-67141212

Associate Name: Tanush Mehta – 022-67141241

Q4FY20 Result Update @ Dalal & Broacha

INTELLECT DESIGN ARENA					
Particulars	Q4FY20	Q4FY19	Q3FY20	YoY%	QoQ%
Revenue	3,596.40	3,975.80	3,203.30	-9.54%	12.27%
Software Development Expenses	-1,669.00	-1,903.39	-1,711.09	-12.31%	-2.46%
Gross Profit	1,927.40	2,072.42	1,492.21	-7.00%	29.16%
Gross Profit %	53.59%	52.13%	46.58%		
SGA Expenses	-905.00	-1,171.63	-1,069.95	-22.76%	-15.42%
R&D Expenses	-235.75	-319.24	-314.60	-26.15%	-25.06%
ESOP	-49.00	-38.30	-52.40	27.94%	-6.49%
Provisions & Write off	-98.41	-21.95	-19.50	348.38%	404.67%
EBITDA	639.24	521.29	35.77	22.63%	1687.28%
EBITDA %	17.77%	13.11%	1.12%		
Depreciation & Amortization	-191.223	-114.724	-170.793	66.68%	11.96%
Hedge Impact	-16.18	-19.6	-8.397	-17.45%	92.69%
Finance Charges	-38.242	-27.01	-48.252	41.58%	-20.75%
Other income	29.836	56.643	33.818	-47.33%	-11.77%
Profit Before Tax	423.428	416.601	-157.858	1.64%	-368.23%
Taxes Paid	-12.898	-17.383	-28.385	-25.80%	-54.56%
Profit After Tax	410.53	399.218	-186.243	2.83%	-320.43%
Reinstatement of Receivables	-62.199	-30.506	50.461	103.89%	-223.26%
Minority Interest	61.547	61.103	21.827	0.73%	-
Adjusted PAT	409.878	429.815	-113.955	-4.64%	

Q4FY20 Active Pursuits	Won	Lost	Added	Q3FY20 Active Pursuits	Q2FY20 Active Pursuits	Q1FY20 Active Pursuits	Q4FY19 Active Pursuits	Remarks
7	1	1	1	8	7	8	6	>INR 50 Cr each
12	2	0	1	13	14	13	14	INR 30-50 Cr
22	0	1	3	20	20	20	19	INR 20-30 Cr



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst Name: Mayank Babla – 022-67141212

Associate Name: Tanush Mehta – 022-67141241

Q4FY20 Result Update @ Dalal & Broacha

Profit & Loss A/c						Balance Sheet (Consolidated)					
YE March (Rs. mn)	FY18	FY19	FY20E	FY21E	FY22E	YE March(Rs. mn)	FY18	FY19	FY20E	FY21E	FY22E
Total Revenue	10,873	14,528	13,507	13,021	15,190	Liabilities					
Growth %	19%	34%	-7%	-4%	17%	Equity Capital	628	659	662	662	662
Less:						Reserves & Surplus	7,392	9,538	9,788	10,124	11,270
Software developme	5,490	7,372	6,987	6,785	7,541	Equity	8,019	10,197	10,450	10,786	11,931
SG&A	3,872	4,727	4,555	4,174	4,563	Preference Share Capital					
R&D	724	1,004	1,219	897	1,033	Net Worth	8,019	10,197	10,450	10,786	11,931
Total Operating Expe	10,087	13,102	12,760	11,855	13,137	Minority Interest	100	90	118	237	333
EBIDTA	787	1,426	746	1,166	2,053	Net Deferred tax liat	-156	-442	-447	-447	-447
Growth %	N.A.	81%	-48%	56%	76%	Other LT Liabilities	1	2	2	2	2
Less: Depreciation &	265	416	690	743	809	Total Loans	1,287	1,007	2,206	2,206	2,206
EBIT	521	1,010	57	423	1,244	Capital Employed	9,251	10,855	12,329	12,783	14,026
Growth %	N.A.	93.9%	-94.4%	647.8%	194.0%	Assets					
Interest Paid	138	114	174	179	219	Gross Block	5,206	6,206	6,874	7,374	8,124
Non-operating Incon	204	509	405	260	304	Less: Depreciation	2,814	3,230	3,919	4,662	5,471
Extraordinary Income	0	304	0	0	0	Net Block	2,391	2,976	2,955	2,712	2,653
Profit Before tax	587	1,709	287	505	1,329	Intangible Assets	1,963	2,277	3,115	3,235	3,435
Tax	70	89	51	50	86	Investments	472	524	603	603	603
Net Profit before Mi	517	1,619	237	454	1,242	Goodwill	348	364	304	304	304
Minority Interest	49	-31	78	119	97	LT Loans & Advances	1,200	1,366	1,337	1,432	1,777
Net Profit	467	1,650	159	335	1,146	Current Assets					
Adjusted Profit	467	1,346	159	335	1,146	Sundry Debtors	2,412	2,027	2,847	2,140	2,497
Growth %	N.A.	188%	-88%	111%	242%	Current Investments	207	156	166	166	166
Reported Diluted						Cash and Bank Balan	1,509	929	946	2,608	2,987
EPS Rs	3.7	12.5	1.2	2.5	8.7	Loans and Advances	53	65	66	78	91
Adjusted Diluted						Other Current Assets	2,902	5,187	5,441	4,638	5,410
EPS Rs	3.7	10.2	1.2	2.5	8.7	Total Current Assets	7,082	8,364	9,466	9,630	11,151
						Less:Current Liabilities & Provisions					
						Sundry Creditors	1,166	1,664	2,080	2,073	2,100
						Provisions	321	427	427	391	456
						Other Current Liabili	2,717	2,926	2,944	2,669	3,342
						Total Current Liabilit	4,205	5,017	5,450	5,133	5,898
						Miscellaneous Assets					
						Capital Applied	9,251	10,855	12,329	12,783	14,026
Cash Flows (Consolidated)											
YE March (Rs. mn)	FY18	FY19	FY20E	FY21E	FY22E						
PAT	467.5	1,649.9	159.0	335.5	1,145.8						
Less: Non Operating Income	(204.3)	(509.0)	(404.6)	(260.4)	(303.8)						
Add: Depreciation	265.3	415.6	689.6	742.7	809.2						
Add: Interest Paid	138.3	114.4	173.7	178.9	219.0						
Operating Profit before WC Changes	716.2	1,336.4	617.7	996.6	1,870.2						
(Inc)/Dec in Current Assets	(490.1)	(1,862.3)	(1,083.9)	1,497.8	(1,142.2)						
Inc/(Dec) in Current Liabilities	670.0	812.4	433.2	(317.2)	764.6						
Net Cash From Operations	896.1	286.5	(33.1)	2,177.2	1,492.5						
Cash Flow from Investing Activities											
(Inc)/Dec in Fixed Assets	(651.9)	(1,000.6)	(667.8)	(500.0)	(750.0)						
(Inc)/Dec in Capital Work In Progress	(579.7)	(314.0)	(838.9)	(120.0)	(200.0)						
(Inc)/Dec in Investment (Strategic)	(88.9)	(52.9)	(78.2)	0.0	0.0						
(Inc)/Dec in Investment (Others)	(360.5)	(166.3)	29.0	(95.5)	(345.0)						
Add: Non Operating Income	204.3	530.1	481.3	301.0	380.5						
Cash From Investing Activities	(1,052.3)	(715.6)	(1,014.1)	(414.5)	(914.5)						
Cash Flow from Financing Activities											
Inc/(Dec) in Total Loans	(1,036.7)	(279.7)	1,198.3	0.0	0.0						
Inc/(Dec) in Reserves & Surplus	1,568.3	528.2	93.8	0.0	0.0						
Less: Interest Paid	(138.3)	(114.4)	(173.7)	(178.9)	(219.0)						
Net Cash from Financing Activities	350.5	(151.1)	1,114.1	(178.9)	(219.0)						
Net Inc/Dec in cash equivalents	194.3	(580.3)	66.9	1,583.8	359.0						
Opening Balance	1,314.5	1,508.8	928.5	946.3	2,608.1						
Closing Cash and Cash Equivalents	1,508.8	928.5	995.4	2,530.1	2,967.1						



Analyst Name: Mayank Babla – 022-67141212

Associate Name: Tanush Mehta – 022-67141241

Q4FY20 Result Update @ Dalal & Broacha

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D& B (CIN_U67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company	No



Analyst Name: Mayank Babla – 022-67141212

Associate Name: Tanush Mehta – 022-67141241

Q4FY20 Result Update @ Dalal & Broacha

in the past twelve months	
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Contact	Email ID	Contact No.	Sector
Mr. Kunal Bhatia	kunal.bhatia@dalal-broacha.com	022 67141442	Auto, Auto Ancillary, FMCG
Mrs.Charulata Gaidhani	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma /Healthcare
Mr. Mayank Babla	mayank.babladalal-broacha.com	022 67141412	I.T/Telecom/Media
Mr. Avinash Tanawade	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr. Akshay Ashok	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr. Suraj Nandu	suraj.nandu@dalal-broacha.com	022 67141438	Associate
Mr. Tanush Mehta	tanush.mehta@dalal-broacha.com	022 67141441	Associate

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021 Tel: 91-22- 2282 2992, 2287 6173, Fax: 91-22-2287 0092 E-mail: research@dalalbroachaindia.com, equity.research@dalal-broacha.com